Loan Term

The term of your mortgage is how long you have to pay back the loan. Typically, mortgage terms are either fifteen, twenty, or thirty years, and most people go with the thirty-year option. A longer loan term means more affordable monthly payments, but a shorter loan term means paying less interest in the long run.

Since we're assuming that you'll be staying in the home for five to seven years, you'll want to go with the cheapest monthly payment possible. While a fifteen-year mortgage is sometimes the best option for investors and people staying in their "forever home," a thirty-year mortgage will often be the best option for a first-time home buyer.

Fixed-Rate versus Adjustable-Rate Mortgage

These two different types of mortgage rates can drastically affect your monthly payments. A fixed rate means that the interest rate of your loan won't ever change. If you sign documents in 2021 for a thirty-year fixed-rate loan, you'll be paying that same interest rate through 2051. (Note that the *interest rate* will never change, but that doesn't mean your *payment* will never change. Per the PITI breakdown, taxes and insurance will still change slightly on an annual basis—and they will almost always go up.)

In our current mid-pandemic market, we're seeing some of the lowest rates ever. Right now and during any time when rates are drastically low, a fixed-rate mortgage may be a smart choice because it's unlikely you'll be able to find a better rate down the road. You'll want to lock in those rates with a fixed-rate mortgage; otherwise, they are likely to increase.

An adjustable-rate mortgage, often abbreviated as ARM, is quite the opposite. The interest rate is not permanent and can increase or decrease over time. You'll see the term ARM with a number in front of it—usually a three, five, or seven—which is the length of time that for which the rate is fixed. A three-year ARM is a thirty-year loan in which the first three years will have the same interest rate, followed by an increase or decrease depending on interest rates at that time.

The good news is the rates on an ARM can't swing wildly. The change is usually only up to 2 percent in either direction each year. The bad news is that can still make a massive difference in terms of your monthly payment,